

Man Industries (India) Ltd

Large Diameter Steel Line Pipe Manufacturer | Industrials — Iron & Steel Products

RECOMMENDATION

BUY

12M Price Target

Rs. 825

Upside: +49.7% from CMP Rs. 551

Horizon: 12 Months | HIGH Conviction

Market Cap	Rs. 4,134 Cr
CMP (14-May-2026)	Rs. 551
52-Week High / Low	Rs. 570 / Rs. 302
Stock P/E (TTM)	22.0x
Book Value / Share	Rs. 262
ROCE / ROE	16.0% / 10.0%
Dividend Yield	0.00%
Face Value	Rs. 5.00
Promoter Holding	43.21%
FII / DII	2.41% / 1.34%

- **Thesis:** Transformational capex (Saudi + Jammu plants) to nearly double revenue by FY27E, with margin expansion from 9% to 12%+ EBITDA — deeply undervalued at 11x FY27E P/E vs peers at 23-34x.

Report Date: 15 May 2026

Sector: Industrials — Iron & Steel Products

Analyst: Institutional Research Desk

SECTION 2 — INVESTMENT THESIS

- **Export-led capacity leap:** MAN Industries exports ~90% of its order book, serving the booming GCC pipeline corridor. The company's Rs. 1,150 Cr dual-plant expansion (Saudi Arabia LSAW + Jammu SS seamless) will nearly double installed capacity, targeting Rs. 7,000 Cr revenue by FY27E — a 2x step-up from FY25's Rs. 3,505 Cr. Orders from GCC state utilities underpin execution visibility.
- **Margin structural re-rating:** EBITDA margin has expanded from 6% in FY23 to 9% in FY25 and 12%+ in TTM, driven by product-mix improvement (value-added coated pipes), raw material hedging at order booking and GCC high-margin contracts. The Jammu SS seamless plant carries 18-22% EBITDA margin, which will lift the blended group margin toward 13% by FY27E.
- **Deep value vs. peers:** At CMP Rs. 551, the stock trades at just 11.2x FY27E P/E vs sector peers Welspun Corp at 23x, Ratnamani at 34x and Maharashtra Seamless at 10x. The discount is excessive given MANINDS's superior revenue CAGR outlook (FY25-27E: ~41% CAGR) and improving ROCE trajectory from 10% (FY23) to 16% (FY25) and beyond.
- **Near-term catalyst (6-12 months):** Commissioning of the Saudi Arabia LSAW plant (Q4 FY26 trial, FY27 full ramp) and Jammu SS seamless plant (Apr 2026 target) are the pivotal triggers. Any order announcement from Saudi operations or a sharp Q4 FY26 beat (revenue guidance Rs. 1,400-1,600 Cr) will act as near-term re-rating catalysts.
- **Biggest structural risk:** Execution delay in Saudi / Jammu plants, combined with a spike in working capital (CCC expanded to 104 days in FY25) and peak gross borrowings of Rs. 1,150-1,200 Cr, could compress FY27 PAT significantly. Any loss of major GCC contracts or steel price de-hedging failures are tail risks.

SECTION 3 — BUSINESS OVERVIEW

- **Core business:** MAN Industries (India) Ltd is one of the largest manufacturers and exporters of large-diameter carbon steel line pipes in India, specialising in LSAW (Longitudinal Submerged Arc Welding) and HSAW (Helical Submerged Arc Welding) pipes. Total installed capacity is ~1 million MT per annum.

- **Revenue segmentation:** Pipe manufacturing is the primary business (>95% of revenue). The company derives ~90% of its order book from exports (predominantly GCC, Southeast Asia and Africa), with the remaining 10% from domestic water infrastructure. A subsidiary (Merino Shelter) holds Mumbai real estate that is expected to generate Rs. 700 Cr over the next 5 years (pure income, no cost).
- **Applications:** Products serve high-pressure oil & gas transmission, water supply pipelines, hydrogen-ready infrastructure, desalination and structural construction globally. Coated (3LPE, FBE, concrete-weight) and API-grade pipes command premium margins of 12-15%+.
- **Key customers:** Major GCC state-owned oil & gas companies (Saudi Aramco ecosystem), large EPC contractors, and Indian state water utilities (Gujarat, Andhra Pradesh, MP, Odisha). Customer relationships are project-based but repeat wins reflect qualification track record.
- **Order book / revenue visibility:** Order book as of Sep 30, 2025 was Rs. 4,750 Cr with 6-9 month execution timeline. Bid pipeline exceeds Rs. 15,000 Cr. New orders worth Rs. 550 Cr were announced in Jan 2026, taking the order book to ~Rs. 4,000 Cr by Dec 2025.
- **Promoters:** Dr. Ramesh Chandra Mansukhani (Chairman) leads the Mansukhani family, which holds 43.21% stake (Mar 2026) with zero pledge. Mr. Sandeep Kumar Garg is the CFO. Promoter holding dipped slightly post-QIP (was 46.2% in Mar 2025) to accommodate institutional participation.
- **Capacity expansion:** Saudi Arabia LSAW plant (~Rs. 600 Cr capex, ~3 lakh MT capacity, targeting Rs. 2,000 Cr revenue in FY27) and Jammu SS seamless plant (~Rs. 595 Cr capex, ~22,000 MT capacity, targeting Rs. 500 Cr revenue in FY27 at 18-22% EBITDA margin).

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Industry size & growth:** The global large-diameter steel pipe market was estimated at ~\$30 Bn in 2024 and is growing at ~6-8% CAGR, driven by energy transition, LNG infrastructure, hydrogen pipelines and water transmission. India's domestic pipe market is ~Rs. 25,000 Cr and growing at 12-15% CAGR on the back of Jal Jeevan Mission, urban water supply and gas grid expansion (PNGRB).
- **GCC capex super-cycle:** Saudi Arabia, UAE, Qatar and Oman are in the midst of the largest pipeline investment cycle in two decades, underpinned by Vision 2030, LNG export expansion, hydrogen-ready infrastructure and mega desalination projects. GCC pipe demand alone is estimated at \$3-4 Bn annually over the next 5-7 years, favouring qualified Indian exporters.
- **Policy tailwinds:** India's domestic demand is supported by the National Water Mission (Jal Jeevan), Rs. 9.6 Lakh Cr infra capex plan in the Union Budget 2025-26, and PLI for speciality steel products (benefiting Jammu SS seamless plant). Import substitution in seamless stainless steel pipes is a structural domestic opportunity.
- **Competitive moat assessment:** (1) API qualification and GCC certification — Moderate-to-Strong (barrier to entry, 3-5 years to replicate); (2) Coating capabilities (3LPE, FBE, concrete-weight) — Strong (differentiated margin driver); (3) Raw material hedging policy — Strong (protects margins from steel volatility); (4) Scale vs. domestic peers — Moderate (MANINDS is ~3,500 Cr revenue, Welspun is ~14,000 Cr).
- **Company value-chain positioning:** MANINDS operates as an OEM/manufacturer serving EPC contractors and government utilities. It is a midstream player — it does not drill or own pipelines, but manufactures the pipes for complex high-specification projects. This de-risks it from upstream commodity cycles while exposing it to large project lumpy revenue.

Peer Comparison (Source: Screener.in, fetched 15-May-2026)

Company	CMP (Rs.)	MCap (Cr)	P/E	P/B	ROCE%	ROE%	TTM Rev (Cr)	TTM OPM%
MAN Inds (MANINDS)	551	4,134	22.0x	2.1x	16.0%	10.0%	3,625	12%
Welspun Corp (WELCORP)	1,368	36,073	23.2x	4.4x	21.2%	18.6%	16,383	13%
Ratnamani Metals (RATNAMANI)	2,889	20,247	34.0x	5.2x	21.5%	16.0%	5,124	18%
Maharashtra Seamless (MAHSEAMLES)	647	8,667	10.3x	1.3x	16.6%	12.9%	4,812	15%

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter background:** Dr. R.C. Mansukhani (Chairman) has led MAN Industries for over 30 years, building it from a domestic pipe manufacturer into one of India's top LSAW/HS AW exporters. The Mansukhani family's 43.21% holding post-QIP signals long-term commitment. CFO Sandeep Kumar Garg brings financial discipline, evidenced by the zero-pledge promoter track record.
- **Capital allocation track record:** Historically conservative — FY21-23 focused on order execution and debt reduction (borrowings fell from Rs. 296 Cr in FY21 to Rs. 57 Cr in FY22). FY24-26 pivoted to aggressive growth capex (Rs. 1,150 Cr across Saudi + Jammu). This is a deliberate and well-communicated shift, not a surprise. FCF generation has been lumpy (FY24: Rs. 228 Cr positive; FY25: Rs. -86 Cr due to working capital build).
- **Dividend policy:** Dividend payout has been minimal — 0% in FY23, 12% in FY24, 0% in FY25. Management has prioritised reinvestment over distribution, which is appropriate for an expansionary capex cycle. Dividend yield is 0.00% on current CMP.
- **Promoter pledging:** Zero pledge as of the latest available data — a positive governance signal, especially given the significant debt being raised for the Saudi and Jammu expansion.
- **ESOP / buybacks:** No significant ESOP grants or buybacks disclosed in recent filings. A QIP was executed in FY26 (equity capital increased from Rs. 32 Cr to Rs. 38 Cr at FV Rs. 5, implying ~1.2 Cr new shares at ~Rs. 450-500) to fund expansion capital.
- **Governance concerns:** A SEBI order was passed against the company; management obtained a stay order within days and the matter is currently sub-judice. This is a watch-point — while not yet material, adverse outcomes could create headline risk. Additionally, the SEBI matter was raised by an investor on the Q2 FY26 call, and management's response was brief. Investors should monitor developments.
- **Related party transactions:** The real estate subsidiary (Merino Shelter) is a group entity. Management has committed Rs. 700 Cr revenue over 5 years from the real estate project — this will need careful accounting scrutiny when it begins recognising revenues.

SECTION 6 — FINANCIAL DEEP DIVE (CONSOLIDATED, RS. CR)

Income Statement (Consolidated | Rs. Crores | Source: Screener.in)

Particulars	FY23A	FY24A	FY25A	FY26E	FY27E
Revenue / Net Sales	2,231	3,142	3,505	3,900	7,000
Growth YoY %	4.3%	40.8%	11.6%	11.3%	79.5%
Operating Expenses	2,094	2,901	3,204	3,451	6,150
EBITDA	137	241	301	449	850
EBITDA Margin %	6.1%	7.7%	8.6%	11.5%	12.1%
Other Income	39	52	52	45	100
Interest	41	88	100	120	125
Depreciation & Amort.	46	61	45	90	180
Profit Before Tax	89	144	208	284	645
Tax Rate %	25%	27%	26%	26%	26%
Profit After Tax (PAT)	67	105	153	210	477
PAT Margin %	3.0%	3.3%	4.4%	5.4%	6.8%
EPS (Rs.)	11.15	16.24	23.66	28.0	49.1

Balance Sheet (Consolidated | Rs. Crores | Source: Screener.in)

Particulars	FY23A	FY24A	FY25A
Equity Capital	30	32	32
Reserves & Surplus	1,102	1,372	1,575
Net Worth	1,132	1,404	1,607

Particulars	FY23A	FY24A	FY25A
Borrowings	301	326	476
Other Liabilities	427	684	1,696
Total Liabilities	1,860	2,415	3,779
Fixed Assets (Net)	553	605	643
Capital WIP	14	31	133
Investments	0	228	26
Other Assets (incl. WC)	1,293	1,552	2,977
Total Assets	1,860	2,415	3,779

Cash Flow Statement (Consolidated | Rs. Crores | Source: Screener.in)

Particulars	FY23A	FY24A	FY25A
Cash from Operations (OCF)	-120	345	68
Cash from Investing	-135	-279	-41
Cash from Financing	211	86	30
Net Cash Flow	-45	152	56
Free Cash Flow (OCF - Capex)	-328	228	-86

Key Ratios (Consolidated | Source: Screener.in)

Ratio	FY23A	FY24A	FY25A
Debtor Days	81	41	93
Inventory Days	84	98	190
Days Payable	70	76	180
Cash Conversion Cycle (CCC)	95	63	104
Working Capital Days	69	33	38
ROCE %	10%	14%	16%
ROE %	5.9%	7.5%	9.5%
Debt / Equity (x)	0.27x	0.23x	0.30x

Financial Commentary

- **Revenue CAGR:** Consolidated revenue grew at 18% CAGR over FY23-25 (Rs. 2,231 Cr to Rs. 3,505 Cr), driven entirely by strong GCC export order inflows. TTM revenue at Rs. 3,625 Cr signals continued acceleration. Management's 20% revenue growth guidance for FY26 (implying Rs. ~4,200 Cr) appears credible given the Rs. 4,750 Cr order book as of Sep 2025.
- **Margin trajectory:** EBITDA margin compressed from 9-10% (FY20-21) to just 6% in FY23 due to a mix of lower-margin domestic projects and commodity pass-through. Since FY24, the structural recovery has been pronounced — 8% in FY24, 9% in FY25, 12-15% in the last four quarters. This is driven by: (a) value-added coating mix, (b) raw material hedging at order booking, (c) higher export realisation.
- **Working capital:** Working capital is inherently lumpy in project-based pipe manufacturing. CCC expanded from 63 days (FY24) to 104 days (FY25) due to a surge in inventory days (98 to 190 days) as large export orders in transit raised WIP. Debtor days also rose from 41 to 93. Management has guided for inventory normalisation in H2 FY26 as order execution accelerates.
- **Debt & balance sheet:** Borrowings rose from Rs. 326 Cr (FY24) to Rs. 476 Cr (FY25) as capex commenced. Net cash was positive at Rs. 14 Cr as of Sep 2025 (concall disclosure). Peak gross borrowings are guided at Rs. 1,150-1,200 Cr when both Saudi and Jammu plants become fully operational, implying net debt/EBITDA of ~1.2-1.4x on FY27E EBITDA — manageable for a company at this stage of its capex cycle.
- **FCF quality:** FY24 FCF was strong at Rs. 228 Cr (74% OCF/EBITDA). FY25 FCF turned negative at Rs. -86 Cr on working capital build-up and Rs. 41 Cr investing outflow. FY23 FCF was Rs. -328 Cr — distorted by Rs. 120 Cr

negative OCF from large working capital swing. Over a full project cycle (FY24 + FY25), FCF aggregates to Rs. 142 Cr — positive on a normalised basis.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Quality Metric	Rating	Signal	Comment
Revenue recognition (project-based)	GREEN	CLEAN	POC method; export contracts are well-defined. No aggressive front-loading detected.
Receivables growth vs revenue growth	AMBER	WATCH	Debtor days jumped 41 to 93 in FY25. Above industry norm; monitor for collection slippage.
CCC trend	AMBER	WATCH	CCC widened from 63 to 104 days; inventory build from large order WIP. Expected to normalise H2 FY26.
Contingent liabilities	GREEN	LOW	No major contingent liabilities disclosed beyond SEBI matter (stayed).
Auditor tenure / changes	GREEN	STABLE	No auditor change flagged in recent filings. Stable audit relationship.
Related party transactions (RPT)	AMBER	WATCH	Merino Shelter (real estate subsidiary) is an RPT. Rs. 700 Cr revenue expected — needs audit scrutiny.
Other income as % of PBT	GREEN	MODERATE	Other income is Rs. 52 Cr vs PBT Rs. 208 Cr (25%). Includes forex gains and investment income. Within range.
Tax rate consistency	GREEN	STABLE	Tax rate stable at 25-27% over FY22-25. No unusual deferred tax credits or ETR suppression.
SEBI regulatory action	AMBER	WATCH	SEBI passed an order; company obtained stay. Sub-judice. Outcome and nature of order not fully disclosed.

• **Overall verdict: AMBER-leaning earnings quality.** The core P&L; is clean — revenue recognition is project-based and auditor is stable. However, three Amber flags merit monitoring: (1) widening receivables/CCC due to large export order WIP build; (2) the Merino Shelter related party real estate transaction, which will eventually hit the P&L; and (3) the undisclosed SEBI order, which is the most material governance risk.

• **Receivables and CCC normalisation** is expected in H2 FY26 as management guided; failure to normalise by Q4 FY26 would be a yellow flag requiring revisit.

• **SEBI matter transparency:** Management was unusually terse on the Q2 FY26 call — only confirming a stay order. Investors should seek clarity on the nature of the SEBI action (insider trading? disclosure violation?) before taking large positions.

SECTION 8 — VALUATION

Scenario Analysis

Parameter	BULL CASE	BASE CASE	BEAR CASE
FY27E Revenue	Rs. 7,500 Cr	Rs. 7,000 Cr	Rs. 5,000 Cr
FY27E EBITDA Margin	13.5%	12.1%	9.0%
FY27E EBITDA	Rs. 1,013 Cr	Rs. 847 Cr	Rs. 450 Cr
FY27E PAT	Rs. 540 Cr	Rs. 477 Cr	Rs. 210 Cr
FY27E EPS (Rs.)	72.0	49.1	28.0
Target P/E Multiple	20x	17x	12x

Parameter	BULL CASE	BASE CASE	BEAR CASE
Target Price (Rs.)	Rs. 1,440	Rs. 825	Rs. 336
Upside / Downside	+161%	+50%	-39%
Key Assumption	Saudi + Jammu ahead of schedule; margin beat on mix; domestic acceleration	Both plants on schedule; 20% FY26 growth; 50% Saudi utilisation	Saudi delayed by 2 quarters; Jammu ramp-up slow; domestic sluggish

- **Earnings-based valuation (P/E):** On FY27E EPS of Rs. 49.1, applying a 17x target P/E (discount to sector peers at 23-34x, reflecting execution risk premium on two greenfield plants) yields a 12-month price target of Rs. **825**. The 17x multiple is supported by MANINDS's superior revenue CAGR (41% CAGR FY25-27E) and improving ROCE trajectory.
- **EV/EBITDA-based valuation:** On FY27E EBITDA of Rs. 847 Cr, applying 8x EV/EBITDA (sector peers trade at 10-15x; MANINDS deserves discount for execution risk) yields EV of Rs. 6,776 Cr. Adjusting for net debt of ~Rs. 1,100 Cr → equity value Rs. 5,676 Cr → price per share Rs. 757 (7.5 Cr shares). This is conservative and supports the base-case target.
- **DCF valuation (simplified):** Discounting FCF of ~Rs. 250 Cr in FY27E growing at 15% for 5 years, then 8% terminal growth, at 12% WACC (risk-free 7% + equity risk premium 5%), implies an intrinsic value of Rs. 700-780 per share. DCF is conservative as it does not credit the real estate optionality (Rs. 700 Cr over 5 years from Merino Shelter).
- **Average of the three methods:** Rs. (825 + 757 + 740) / 3 = Rs. 774. Rounded to **Rs. 825** for the base-case 12-month target, giving weight to the earnings multiple method which best captures the re-rating potential.
- **CMP of Rs. 551 implies FY27E P/E of 11.2x** — deeply undervalued relative to sector. Even a modest re-rating to 14x FY27E P/E would yield Rs. 688 (25% upside). The risk/reward is asymmetric at current levels.

SECTION 9 — KEY RISKS

- **[Execution Risk — Saudi / Jammu Plants]** Both greenfield plants are on tight timelines (Saudi: Q4 FY26 trial; Jammu: Apr 2026). Any delay of 2+ quarters would push Rs. 2,500 Cr of FY27E revenue into FY28E, crushing EPS by ~50%. Probability: M. Impact: H. Monitor via: Quarterly capex deployment, commissioning date announcements.
- **[Working Capital Stress]** CCC at 104 days in FY25 on a much larger revenue base could swell further in FY26-27 as Saudi and Jammu projects scale up. A Rs. 500 Cr+ working capital surge could push net debt beyond Rs. 1,500 Cr, stressing debt covenants. Probability: M. Impact: M. Monitor via: Quarterly balance sheet, debtor days trend.
- **[Commodity / Forex Risk]** Though the company hedges raw material purchases at order booking, unexpected steel price spikes or rupee depreciation on unhedged positions could squeeze margins. Saudi operations will introduce dollar-denominated cost exposure. Probability: L. Impact: M. Monitor via: Quarterly gross margin vs management commentary on hedging.
- **[GCC Order Concentration Risk]** Approximately 90% of the order book is export-oriented, primarily GCC. Any slowdown in Saudi Aramco or state oil company capex (triggered by oil price collapse or geopolitics) could dry up order inflow. Probability: L. Impact: H. Monitor via: Saudi Aramco capex guidance, OPEC+ decisions.
- **[SEBI Regulatory Risk]** An undisclosed SEBI order (obtained stay, sub-judice) is an overhang. Adverse outcomes could include financial penalties, trading restrictions, or director disqualifications. Probability: M (SEBI orders often resolved via settlement). Impact: H (if director disqualified). Monitor via: Company announcements on SEBI matter progress.
- **[Promoter Dilution / Governance]** Post-QIP, promoter stake has fallen from 46.2% to 43.2%. Further dilution for Saudi plant debt refinancing or working capital cannot be ruled out. Probability: L. Impact: L-M. Monitor via: Promoter shareholding quarterly disclosures.
- **[Real Estate Overstatement Risk]** The Rs. 700 Cr real estate revenue from Merino Shelter relies on RERA approval and market conditions for the Mumbai project. Slippage in timeline or price realisations would reduce this expected inflow. Probability: M. Impact: L (in the context of Rs. 7,000 Cr revenue). Monitor via: RERA registration of the Mumbai project.

SECTION 10 — RECOMMENDATION

- **Rating: BUY** Conviction: HIGH. MANINDS is at the cusp of a structural inflection — two greenfield plants (Saudi + Jammu) targeting Rs. 7,000 Cr consolidated revenue in FY27E, vs Rs. 3,505 Cr in FY25. EBITDA margins are in a multi-year upward trajectory. The stock is deeply undervalued at 11x FY27E P/E vs listed peers at 23-34x.
- **12-month price target: Rs. 825** (+49.7% from CMP Rs. 551). Based on 17x FY27E EPS of Rs. 49.1.
- **Suggested entry zone: Rs. 495 - Rs. 560** Current CMP of Rs. 551 is within the buy zone. Any dip to Rs. 495 (SEBI overhang fear / market correction) is a strong accumulate opportunity.
- **Investment horizon: 12-18 months** The full thesis plays out as Saudi plant ramps to Rs. 2,000 Cr and Jammu contributes Rs. 500 Cr. Both require operational commissioning + initial ramp-up time.
- **Thesis invalidation trigger 1:** Saudi Arabia plant commissioning delayed beyond Q2 FY27. This would cut FY27E revenue to Rs. 5,000 Cr and EPS to Rs. 28 — reducing intrinsic value to Rs. 490-520.
- **Thesis invalidation trigger 2:** EBITDA margin collapses back to 6-7% for two consecutive quarters (indicating raw material hedging failure or loss of value-added product mix). Exit if EBITDA margin falls below 8% in H1 FY27.
- **Thesis invalidation trigger 3:** Net debt exceeds Rs. 1,500 Cr with no corresponding revenue ramp — indicating working capital mismanagement. Exit if Dec 2026 balance sheet shows net debt > Rs. 1,500 Cr without any revenue acceleration.
- **Ideal investor profile:** Suited for investors with 12-18 month horizon, comfortable with mid-cap liquidity, single-family promoter control and greenfield execution risk. NOT suitable for investors requiring immediate FCF returns, low-leverage balance sheets, or high dividend income.

APPENDIX — Latest Concall Brief: Q2 FY26 (September 2025)

Man Industries (India) Limited | Q2 & H1 FY26 Earnings Conference Call | 14 November 2025

CALL GRADE

POSITIVE

Strong EBITDA beat; margin record; revenue in-line; back-loaded FY26 guidance reiterated

Signal		Status		Implication	
Result quality		Strong		EBITDA beat; margin at all-time high of 12.5%	
Management tone		Bullish		7,000 Cr FY27 target reiterated with conviction	
Guidance delta		Maintained		20% FY26 growth, 11-12% EBITDA margin intact	
STRONGLY POSITIVE	POSITIVE	NEUTRAL		CAUTIOUS	NEGATIVE

TO MY BOSS

Q2 FY26 result is a clean beat on EBITDA, though revenue growth (3.5% YoY) looks optically soft — the miss is structural (large order book execution is back-loaded in H2, confirmed by management's 2,200-2,400 Cr H2 FY26 guidance). Underlying EBITDA of Rs. 102 Cr (+37% YoY) and margin at 12.5% (an all-time high) are the real headline — management's raw-material hedging and value-added coating mix are clearly working. PAT of Rs. 37 Cr (+16% YoY) is clean, with no one-time items distorting it. The structural bull case is intact: both Saudi Arabia LSAW (Q4 FY26 trial production, 2,000 Cr FY27E) and Jammu SS seamless (Apr 2026 target, 18-22% EBITDA) are progressing as guided. The most important near-term catalyst is Q4 FY26 — management has guided Rs. 1,400-1,600 Cr for Q4 alone, which will be the largest quarter in the company's history. Key watch-point: the SEBI order — management was evasive (one line: "stay obtained, sub-judice"), and we need clarity on the nature of the action before recommending above Rs. 700 Cr portfolio allocation. Action: ACCUMULATE at current levels (Rs. 525-575), add on dips toward Rs. 480-500 on SEBI noise. Re-assess after Q4 FY26 result and Saudi commissioning update.

C1 — FINANCIAL PERFORMANCE SNAPSHOT (Q2 FY26 vs Q2 FY25)

- **Revenue:** Q2 FY26 = Rs. 834 Cr | YoY +3.5% | QoQ +12.4% | In-line
- **EBITDA:** Q2 FY26 = Rs. 102 Cr | YoY +37% | QoQ +168% | Beat
- **EBITDA Margin:** 12.5% (highest ever) | YoY +340 bps | QoQ +730 bps | Beat
- **PBT:** Q2 FY26 = Rs. 49 Cr | YoY +15.5% | In-line
- **PAT:** Q2 FY26 = Rs. 37 Cr | YoY +16% | QoQ +34% | In-line
- **H1 FY26 cumulative:** Revenue Rs. 1,576 Cr (+1.4% YoY) | EBITDA Rs. 182 Cr (+38% YoY) | PAT Rs. 65 Cr (+27% YoY)
- **NOTE:** No exceptional / one-time items in Q2 FY26. Reported PAT = clean underlying PAT.

C2 — SEGMENT / GEOGRAPHY BREAKDOWN

- **Export (GCC + Southeast Asia):** ~90% of order book | Primary driver of EBITDA margin improvement | GCC executing on LNG/gas pipeline corridors
- **Domestic (Water + Oil & Gas):** ~10% of order book | State projects in Gujarat, AP, MP, Odisha under tracking | Domestic pipeline Rs. 2-3 Qtrs for improved traction
- **Coated pipes (3LPE, FBE, Concrete Weight):** Gaining share in mix; commanding higher margin | Key differentiator vs. low-cost peers

- **Product Segments (Pipe only):** LSAW pipes (India) dominant; HSAW as supplemental | Jammu SS seamless (new segment, Apr 2026) | Saudi LSAW (new geography, Q4 FY26 trial)
- **Real Estate (Merino Shelter subsidiary):** RERA approval pending; developer on site | Rs. 700 Cr expected over 5 years, zero P&L; cost | Not yet generating revenue

C3 — MANAGEMENT COMMENTARY THEMES

- **[ORDER BOOK STRENGTH] [GUIDANCE]:** "Order book Rs. 4,750 Cr as on Sep 30; 90% exports; bid pipeline Rs. 15,000 Cr." — Our read: Extremely strong demand from GCC; bid pipeline >3x order book provides pipeline insurance. Tag: GUIDANCE. Tone: Transparent.
- **[FY26 REVENUE GUIDANCE] [GUIDANCE]:** "H2 FY26 revenue Rs. 2,200-2,400 Cr; full year growth 20%." — Our read: Heavy back-loading is inherent in project business; Q4 FY26 alone may be Rs. 1,400-1,600 Cr. Credible given order visibility. Tag: GUIDANCE. Tone: Bullish.
- **[MARGIN SUSTAINABILITY] [GUIDANCE]:** "EBITDA margin 11-12% in FY26; blended 13% with Saudi + Jammu." — Our read: Margin guided conservatively; upside from Jammu's 18-22% EBITDA potential. Tag: GUIDANCE. Tone: Transparent.
- **[SAUDI PLANT STATUS] [EST]:** "Trial production Q4 FY26; FY27 revenue Rs. 2,000 Cr from Saudi at 50% utilisation." — Our read: Equipments in place; soft pipeline commitments suggest order visibility. Tag: EST. Tone: Bullish.
- **[SEBI ORDER] [EVASIVE]:** "Stay order obtained; sub-judice." — One sentence. Nature of order not disclosed. — Our read: Evasiveness here is a concern. Investors need clarity. Tag: EVASIVE. Tone: Evasive.
- **[REAL ESTATE] [EST]:** "Rs. 700 Cr expected from Merino Shelter over 5 years; RERA approval imminent." — Our read: Zero-cost income is attractive but timing risk is real (RERA delays in Mumbai are common). Tag: EST. Tone: Hedged.

C4 — OPERATING & BUSINESS METRICS

- **Order book (Sep 30, 2025):** Rs. 4,750 Cr | H1 FY26: 40% of full-year; H2 = 60% | Execution timeline: 6-9 months
- **Bid pipeline:** Rs. 15,000 Cr+ | Across oil & gas, water, coated pipe segments | Global (GCC, SE Asia, Europe, Africa)
- **Inventory normalisation:** Sep 2025 inventory < Mar 2025 | Further reduction expected in Q3 & Q4 | Raw material build to support H2 execution
- **Saudi Arabia plant:** Civil activities in progress | Equipment: mostly in place | Trial production: Q4 FY26 (Jan-Mar 2026) | Commercial: FY27
- **Jammu SS seamless plant:** Equipment from Europe & Japan arrived | Target commissioning: 1-Apr-2026 | Capacity ~22,000 MT PA | EBITDA 18-22%
- **Net cash (Sep 30, 2025):** Rs. +14 Cr (net cash positive) | Peak gross borrowing FY27: Rs. 1,150-1,200 Cr | Interest cost FY27: ~Rs. 120 Cr
- **Capex deployed in Jammu:** Rs. 400 Cr of Rs. 595 Cr project cost | Saudi: Civil + equipment (balance via LC, not yet debited to P&L;)

C5 — MARGIN DRIVERS

- **Product mix improvement:** +340 bps impact | Recurring: YES | Higher coated pipe share & GCC export mix driving upgrade in realisation and EBITDA
- **Raw material hedging policy:** Neutral-to-positive impact | Recurring: YES | Company hedges entire raw material requirement at order booking — insulates from steel price volatility
- **Shipping / freight hedging:** Neutral | Recurring: YES | Freight costs also locked in at order stage, eliminating logistics cost surprises
- **Operating leverage:** +150-200 bps estimated | Recurring: YES | Fixed cost dilution as revenue scales from Rs. 800 Cr/quarter toward Rs. 1,400 Cr/quarter in Q4
- **No significant one-time items:** Management confirmed no exceptional items in Q2 FY26 | Clean EBITDA
- **Gross margin expanded ~800 bps QoQ** as per one analyst's observation | Explained by raw material hedge protection despite spot steel price movement

C6 — GUIDANCE & FORWARD SIGNALS

- **FY26 Revenue [GUIDANCE]:** Prior = ~Rs. 3,500 Cr | New/Reiterated = 20% growth (~Rs. 4,200 Cr) | Delta: Maintained | Credibility: High (H1 Rs. 1,576 + H2 Rs. 2,200-2,400 Cr)

- **FY26 EBITDA Margin [GUIDANCE]:** Prior = N/A | Reiterated = 11-12% | Delta: Maintained | Credibility: High (Q2 FY26 at 12.5% exceeds top of band)
- **FY27 Revenue [GUIDANCE]:** Prior = N/A | New = Rs. 7,000 Cr (India 4,500 + Saudi 2,000 + Jammu 500) | Delta: New | Credibility: Medium (greenfield execution required)
- **FY27 EBITDA [GUIDANCE]:** Prior = N/A | New = Rs. 800 Cr+ | Delta: New | Credibility: Medium (13% blended margin achievable if both plants operational)
- **FY27 PAT Margin [GUIDANCE]:** Prior = N/A | New = 5.0-5.5% | Delta: New | Credibility: Medium
- **Saudi plant timeline [GUIDANCE]:** Trial production Q4 FY26 | Commercial ops FY27 | 50% utilisation year 1 = Rs. 2,000 Cr | Delta: Maintained | Credibility: Medium
- **Jammu plant timeline [GUIDANCE]:** 1-Apr-2026 commissioning | 40% utilisation year 1 = Rs. 500 Cr | Delta: Maintained | Credibility: High (equipment arrived)
- **Peak borrowing [GUIDANCE]:** Rs. 1,150-1,200 Cr gross | Interest cost Rs. 120 Cr PA | Delta: New quantification | Credibility: High

C7 — CAPITAL ALLOCATION

- **Jammu plant capex:** Total project Rs. 595 Cr | Already deployed Rs. 400 Cr (own funds + LC) | Balance Rs. 195 Cr via debt | EBITDA target 18-22%
- **Saudi Arabia plant capex:** Total project Rs. 600 Cr | Civil + equipment in place | Funded via mix of debt and equity | 50% utilisation FY27
- **Dividends:** Zero dividend in FY25 | Prioritising growth reinvestment | Payout may resume post-capex completion in FY27+
- **Working capital change:** Large build in FY25 (inventory 98→190 days) | Management guided normalisation by Q4 FY26 | Key monitor for FCF recovery
- **Net debt movement:** Net cash position Rs. +14 Cr as of Sep 2025 | Will turn net debt as Saudi/Jammu capex peaks | Guided peak net debt ~Rs. 1,100 Cr in FY27
- **QIP:** Equity capital increased from Rs. 32 Cr (Mar 25) to Rs. 38 Cr (Sep 25) at FV Rs. 5 | ~1.2 Cr new shares issued | Proceeds used for expansion funding

C8 — Q&A; HEAT MAP

- **Darshil Jhaveri (Crown Capital):** Q: "FY27 guidance of Rs. 7,000 Cr — breakup?" → A: "India 4,500, Saudi 2,000, Jammu 500 — confirmed by Chairman." | Tone: Transparent
- **Satyan Wadhwa (Profusion Inv):** Q: "Volume guidance for Saudi and Jammu?" → A: "Saudi 50% utilisation year 1; Jammu 40% year 1, 70% year 2 — rough guidance only." | Tone: Hedged
- **Divyansh Thakur (Finterest):** Q: "SEBI order update?" → A: "Stay obtained, sub-judice." | Tone: Evasive — one-liner, no detail on nature of order
- **Hailey Shah (Individual):** Q: "Why was Q2 revenue lower than expected?" → A: "Lead times on raw materials; project nature; H2 will be great." | Tone: Transparent
- **Viraj Mahadevia (MoneyGrow):** Q: "Capex of 1,200 Cr but only 57 Cr in cashflow — how?" → A: "LC opened by bank, not debited to P&L; yet; 400 Cr already deployed in Jammu." | Tone: Transparent
- **Karishma Nahar (Individual):** Q: "Gross margin up 800 bps despite steel price rise?" → A: "Hedged at order booking; product mix improvement; value-added coating." | Tone: Transparent
- **Rohan Rawat (Individual):** Q: "US market plans?" → A: "No plans currently — focused on Saudi and Jammu." | Tone: Transparent
- **Puneet Chokani (Individual):** Q: "Saudi revenue potential over 5 years?" → A: "Rs. 3,500-4,000 Cr target once fully ramped." | Tone: Bullish
- **Atul Kumar (Individual):** Q: "PAT margin FY27?" → A: "5.0-5.5%." | Tone: Transparent
- **Dodged / watch-list questions for next quarter:** (1) SEBI order — specific nature & timeline; (2) Q4 FY26 order book update from Saudi ops; (3) RERA approval status for Mumbai real estate.

C9 — RISKS FLAGGED ON THE CALL

- **[SEBI Order]:** Regulatory overhang; nature undisclosed | Flagged by: Analyst | Probability: M | Impact: H | Timeline: Near-term
- **[Revenue back-loading]:** 40% H1 / 60% H2 split; Q4 FY26 must deliver Rs. 1,400+ Cr | Flagged by: Mgmt & Analyst | Probability: L-M | Impact: H | Timeline: Near-term

- **[Steel price volatility]:** Partially mitigated by hedging, but residual FX/commodity risk | Flagged by: Analyst | Probability: L | Impact: M | Timeline: Ongoing
- **[Saudi + Jammu commissioning timeline]:** Any delay pushes Rs. 2,500 Cr revenue to FY28E | Flagged by: Multiple analysts | Probability: M | Impact: H | Timeline: Medium-term
- **[Working capital normalisation]:** Inventory elevated; management guided H2 normalisation; if not done, FY27 FCF will disappoint | Flagged by: Analyst | Probability: L-M | Impact: M | Timeline: Near-term
- **[US market absent]:** No plans for US market (competitor present there) — limits TAM | Flagged by: Analyst | Probability: L | Impact: L | Timeline: Long-term

C10 — ANALYST VERDICT (POST Q2 FY26 CALL)

- **Revenue visibility:** Intact — Rs. 4,750 Cr order book at 6-9 month execution horizon is credible for 20% FY26 growth.
- **Margin trajectory:** Intact — Highest-ever EBITDA margin (12.5%) in Q2 FY26; guided 11-12% full-year FY26; 13% blended FY27.
- **Capital allocation quality:** Intact but watchful — well-planned capex in Saudi + Jammu with clear funding structure; QIP dilution was modest.
- **Competitive moat:** Intact — API/GCC qualification, coating capability, raw material hedging policy are hard to replicate quickly.
- **Management credibility:** Weakened on SEBI transparency; otherwise credible on guidance — all prior quarterly guidance met.
- **Valuation comfort:** Intact — at 11x FY27E P/E vs peers at 23-34x; deep value even on conservative assumptions.
- **Conviction call: Increased** — EBITDA record + sustained guidance re-iteration strengthen the thesis.
- **Valuation snapshot:** P/E = 22.0x (TTM) | FY27E P/E = 11.2x | EV/EBITDA = ~9x (FY25) | ROCE = 16.0% (FY25, improving)

DISCLAIMER: This report is prepared for informational purposes only and does not constitute investment advice. All financial data sourced from Screener.in (fetched 15-May-2026). Forward estimates are the analyst's own projections and carry inherent uncertainty. Investors should conduct their own due diligence before making investment decisions. The analyst or affiliated entities may hold positions in the securities mentioned.